

Transformer-Based Time-Series Forecasting of Apple Inc. (AAPL) Stock Prices*

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I. INTRODUCTION

Stock market forecasting is a classic time series task with broad financial applications. Traditional models such as ARIMA and MLPs have been used extensively but often fail to capture nonlinear and temporal dependencies in price data [1].

LSTM networks offer improvements by modeling sequential patterns and addressing gradient issues [2], [3], but their performance is limited by training inefficiencies and sensitivity to hyperparameters [4], [5].

Recent work has explored transformer-based models for time series forecasting, citing benefits such as parallelization and long-range dependency modeling [6]. These properties are particularly advantageous in financial contexts with complex temporal dynamics.

This project applies Hugging Face's `TimeSeriesTransformer` to forecast the 5-day average closing price of AAPL stock. The model incorporates OHLC data, technical indicators, and calendar features, and is benchmarked against SMA and MLP baselines to evaluate its predictive value.

II. METHODOLOGY

A. Problem Formulation

We aim to forecast the average closing price of Apple stock over the next five trading days, given a 30-day historical context of price and derived features. Formally, let $X_t \in \mathbb{R}^d$ be the feature vector at time t , where d is the number of engineered features. The learning task is to predict:

$$\hat{y}_t = \frac{1}{5} \sum_{i=1}^5 \text{Close}_{t+i}$$

B. Dataset

The dataset consists of historical stock data for Apple Inc. (AAPL), sourced from the NASDAQ official site [7]. It spans from April 3, 2020 to April 2, 2025, and includes daily Open, High, Low, Close, and Volume (OHLCV) information. This raw data was further enriched with technical indicators (e.g., RSI, MACD, ATR) and calendar-based features to support learning temporal patterns relevant to short-term price forecasting.

C. Models

This section compares several forecasting models, including baseline methods and advanced deep learning architectures, with an emphasis on temporal feature modeling.

1) **Baseline Models: Simple Moving Average (SMA):** The SMA serves as a naive baseline, assuming that recent average prices can predict near-term trends. A 10-day moving average (SMA10) was computed using the shifted rolling average of the closing price:

$$\text{SMA}_{10}(t) = \frac{1}{10} \sum_{i=1}^{10} \text{Close}(t-i)$$

Evaluated on the validation set, SMA10 yielded a Mean Absolute Error (MAE) of 4.34, Root Mean Squared Error (RMSE) of 5.45, and a directional accuracy of 51.7%.

Multilayer Perceptron (MLP): The MLP baseline used the previous day's OHLC values to predict the next-day closing price. The input data were standardized, and the model architecture included:

- **Input Layer:** 4 features (Open, High, Low, Close)
- **Hidden Layer 1:** 64 units, ReLU activation
- **Hidden Layer 2:** 32 units, ReLU activation
- **Output Layer:** 1 unit (next-day Close)

Trained over 100 epochs using the Adam optimizer and MSE loss, the MLP achieved an MAE of 10.84, RMSE of 12.38, and directional accuracy of 52.4%, outperforming the SMA baseline.

2) **Deep Sequence Model Candidates: LSTM (Literature Reference):** Although not implemented in this project, sequence-to-sequence LSTM architectures have been widely explored in time series forecasting literature. A typical configuration includes two LSTM layers with 64 hidden units each. Prior studies report that LSTMs often underperform in capturing long-range dependencies, primarily due to issues like vanishing gradients and the need for sequential (non-parallel) computation, which slows down training and reduces scalability.

TimeSeriesTransformer: The core model implemented in this study is the `TimeSeriesTransformerForPrediction` from Hugging Face. Unlike LSTMs, the transformer architecture

uses self-attention to capture temporal relationships across the entire context window in parallel.

The model was configured as follows:

- **Input Size:** 4 (OHLC)
- **Time Features:** 23 engineered features (technical indicators, calendar encodings, and moving averages)
- **Context Length:** 30
- **Prediction Length:** 5
- **Lagged Features:** {1, 7, 30}
- **Encoder/Decoder Layers:** 4 each
- **Model Dimension (d_{model}):** 64
- **Parallel Samples:** 100

Training was performed using the AdamW optimizer with a learning rate of 10^{-3} and MSE loss.

3) *Model Selection Rationale:* The transformer model was selected over LSTM due to its superior scalability and parallelism. While LSTMs are effective for small datasets with clear short-term dependencies, they often require extensive tuning and still struggle with long-term context modeling. In contrast, the transformer’s self-attention mechanism enables efficient capture of global temporal dependencies and integration of diverse input features. The relative novelty of applying transformers to stock forecasting also presents a unique opportunity for exploration and innovation in this space.

III. RESULTS

A. Data Pipeline and Model Setup

The modeling pipeline consists of the following stages:

- 1) **Data preprocessing:** OHLC (Open, High, Low, Close) stock data for Apple Inc. was converted to numerical format, and technical indicators (RSI, MACD, ATR, Bollinger Bands, moving averages) were computed.
- 2) **Feature engineering:** A total of 23 engineered features were constructed, including lagged prices and cyclic encodings of calendar dates.
- 3) **Windowing:** A sliding window approach using 60 past time steps (30 context + 30 lag) predicted a 5-day average of the future Close price.
- 4) **Training pipeline:** 80% of the data was used for training, and 20% for validation. All models shared this aligned temporal split.

B. Performance Metrics

The following table summarizes the performance of all models on the validation set using three metrics: Mean Absolute Error (MAE), Root Mean Squared Error (RMSE), and Directional Accuracy (DA):

TABLE I
FORECASTING MODEL PERFORMANCE ON VALIDATION SET

Model	MAE	RMSE	Directional Acc.
SMA (10-day)	4.34	5.45	51.69%
MLP (2-layer NN)	14.25	16.02	54.40%
TimeSeriesTransformer	5.32	6.39	74.24%

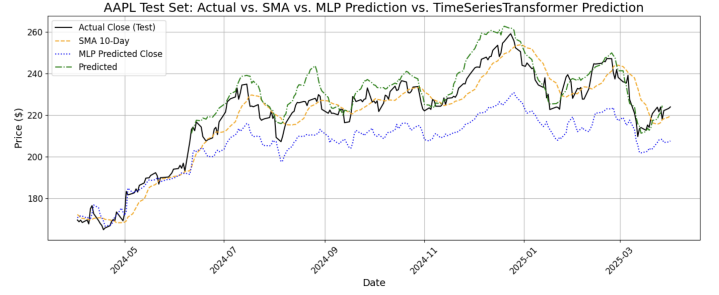


Fig. 1. Comparison of predicted AAPL closing prices by SMA (orange), MLP (blue), and TimeSeriesTransformer (green) against the actual test set closing prices (black). The transformer model exhibits closer tracking of short-term fluctuations and major trend reversals.

C. Interpretation

The SMA model demonstrated relatively low MAE and RMSE due to its smoothing nature but exhibited poor directional accuracy (51.69%), reflecting its inability to capture market reversals.

The MLP, though capable of modeling non-linearities, underperformed in all metrics, likely due to its limited input horizon (1-day OHLC) and lack of temporal memory.

In contrast, the TimeSeriesTransformer achieved the highest directional accuracy (74.24%) and competitive MAE/RMSE. The attention-based architecture enabled the model to integrate information across different temporal and technical features, resulting in superior trend-tracking and directional predictions. As shown in Figure 1, the transformer prediction (green) consistently follows the actual price movement more closely than the MLP (blue) or SMA (orange), especially during periods of volatility and sharp trend reversals.

IV. CONCLUSION

This project investigated the effectiveness of various forecasting models for short-term stock price prediction using AAPL data. Among the evaluated models, the TimeSeriesTransformer outperformed both the traditional SMA and the feedforward MLP in terms of MAE, RMSE, and directional accuracy. By leveraging self-attention and a diverse set of engineered features—including technical indicators and calendar attributes—the transformer architecture demonstrated strong adaptability to temporal patterns and market shifts.

Future work could extend this framework through ensemble methods that combine the strengths of multiple architectures. For instance, integrating LSTM-based sequence learners could help capture longer-term temporal dependencies, while tree-based models may provide robustness against noise. Such hybrid approaches may further improve predictive accuracy and reliability across different market regimes.

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A. Appendix

Github Repository: <https://github.com/rofiaa/STATS507.git>